

Securities Legislation

Anti-Money Laundering and Countering the Financing of Terrorism (AML/CFT)

23 July 2025

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Content:

1. Introduction
- ^{Big}₂ * 2. Understanding the Stages of Money Laundering
3. Critical Controls in the Financial Services Sector
- * 4. The Financial Action Task Force (FATF) and 'Grey Listing'
5. The Financial Intelligence Centre (FIC) and the FIC Act



Introduction

What is money laundering?



Definition

Money laundering is the ***process*** by which criminals **disguise the origins of illegally obtained funds to make them appear legitimate**. The goal is to *integrate illicit proceeds into the financial system without detection*, allowing criminals to use the money freely without raising suspicion.

Introduction

- About:
 - Money laundering is a significant *financial crime* that facilitates corruption, organised crime, terrorism financing, and economic instability.
- Unique African Challenges:
 - Diverse economies & regulatory landscapes
 - Cash-based economies
 - Dollar dependencies
 - Varied enforcement capabilities
 - High-risk sectors:
 - Mining and extractives
 - Real estate
 - Banking
 - DeFi – i.e. crypto-assets and cryptocurrencies



Why Money Laundering is Criminalised

Money laundering is illegal because it supports various forms of crime, undermines the financial system, and poses a significant risk to society.

Several reasons explain the criminalisation of money laundering:

National Security

- Laundered funds are often used to finance activities that threaten national security, such as terrorism, trafficking, and organised crime. By disrupting money laundering operations, authorities can limit the resources available to criminal networks.

Economic Stability

- Money laundering can distort financial markets by creating artificial demand for assets, leading to price inflation. In the real estate sector, for example, money laundering can drive up property prices, making housing unaffordable for ordinary citizens.

Deterrence of Financial Crimes

- Criminalising money laundering serves as a deterrent to those involved in criminal activities. Knowing that illicit proceeds are difficult to clean reduces the incentive to commit predicate crimes such as fraud, corruption, and drug trafficking.

International Compliance Obligations

- South Africa is a member of international bodies such as the Financial Action Task Force (FATF). Compliance with global AML standards is essential for maintaining access to international financial markets and avoiding sanctions.

Protecting the Integrity of Financial Institutions

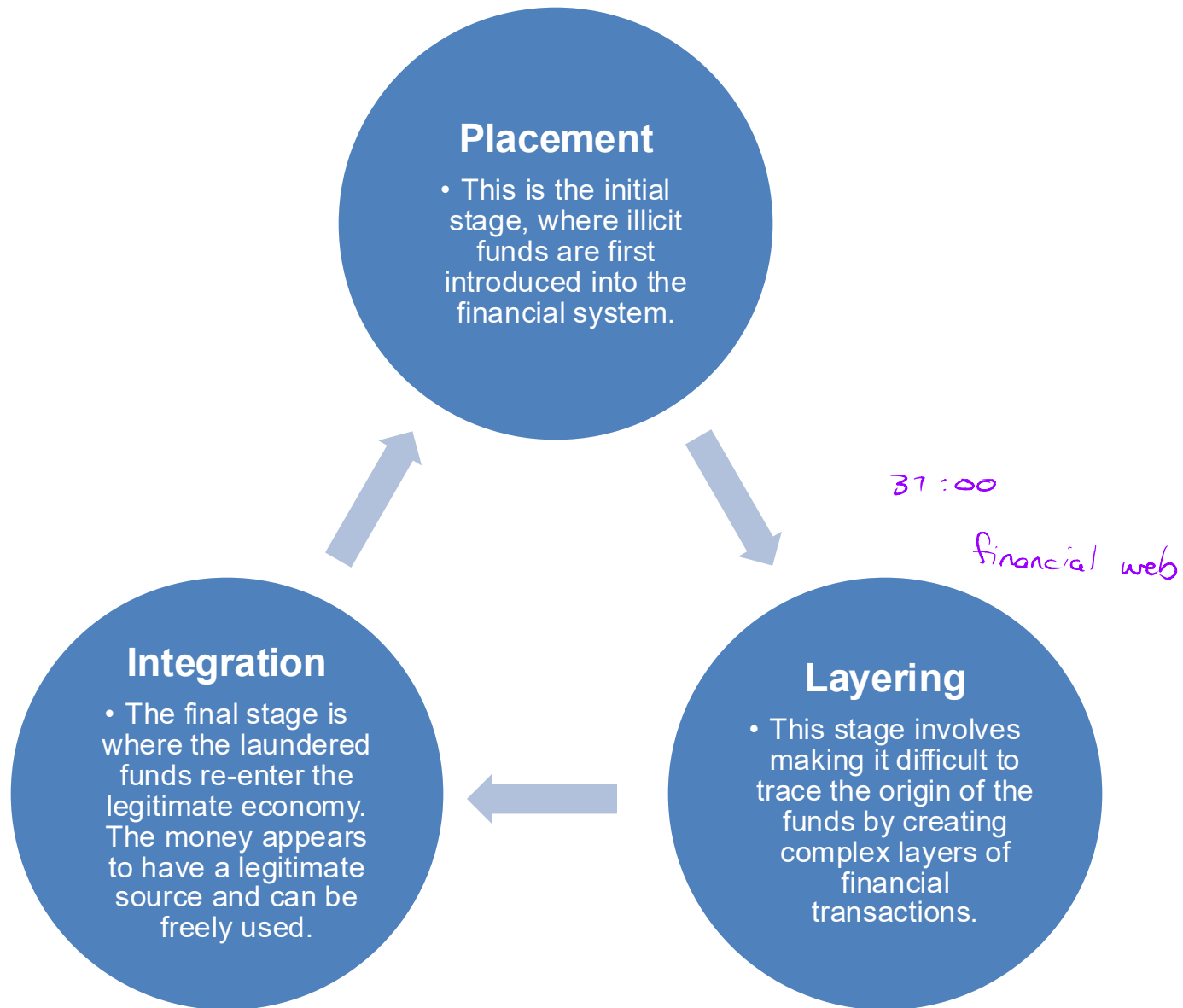
- Money laundering scandals can severely damage the reputation of financial institutions, resulting in loss of customer trust and heavy regulatory penalties.

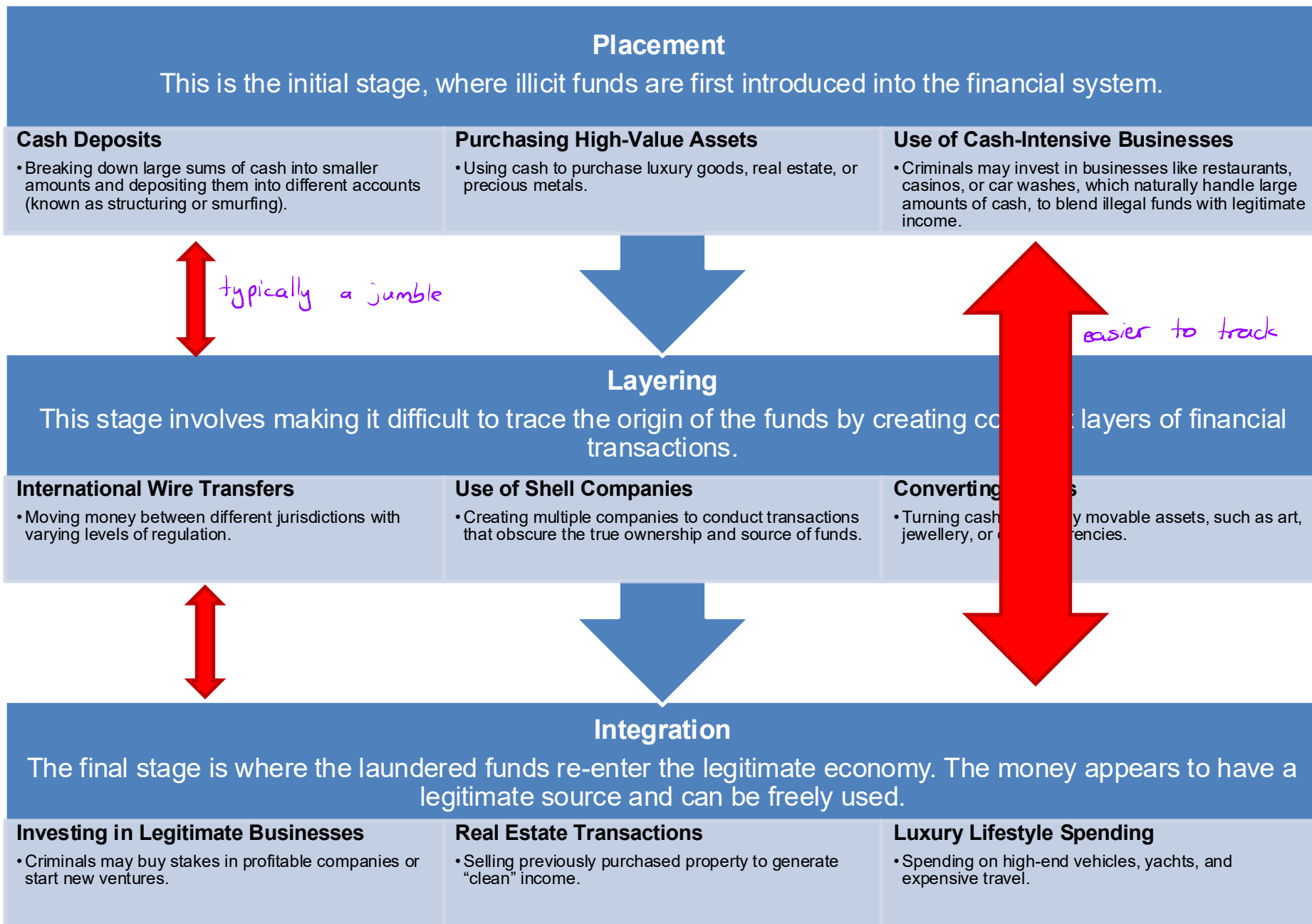


The Stages of Money-Laundering

The 'wash, rinse, repeat' cycle







Practical Examples

Trade-Based Money Laundering:

- Involves manipulating the value of goods in international trade. For example, under-invoicing the export of diamonds from South Africa and receiving the balance through illegal channels.

Real Estate Transactions:

- Criminals buy luxury properties with illicit funds and sell them at market value, thereby integrating the proceeds into the legitimate economy. For instance, a high-value home purchased with laundered funds may later be sold, providing the appearance of clean profit.

Gambling & Casinos:

- Purchasing chips with illegal cash, gambling minimally, and cashing out the remainder as “winnings.” This method takes advantage of the anonymity offered by certain gambling establishments to disguise the source of funds.

Crypto-Assets & Crypto-Currencies:

- Using cryptocurrencies to transfer funds anonymously across borders. Techniques include tumbling services (mixers) that mix multiple transactions to obscure the origin of funds, decentralised finance (DeFi) platforms that offer peer-to-peer transfers without traditional oversight, and converting crypto to fiat currency through unregulated exchanges to conceal the true source of funds.



Critical Controls in the Financial Services Sector

The major challenge for most financial services providers... *facilitating compliance*



46:50

KNOW:

48:30

- critical controls
- identify
- assess
- mitigate risk

Critical Controls and Compliance Focus Areas:

1. Customer Due Diligence (CDD); Extended Due Diligence (EDD); Know Your Client (KYC)
2. Transaction Monitoring *red flag notification*
3. Reporting Obligations
4. AML Policies and Internal Controls
5. Market Regulation of Deregulated Financial Instruments (i.e., Crypto-assets) *can be diff to manage*



Anti-Money laundering (AML) Policies and Internal Controls

- **Internal Frameworks:** Institutions must establish comprehensive AML policies that outline the roles and responsibilities of staff in combating money laundering.
- **Independent Audits:** Regular audits help ensure compliance with AML policies and identify areas for improvement.
- **Training & Awareness:** Staff should receive ongoing training on money laundering typologies, red flags, and reporting requirements.



Customer Due Diligence (CDD) & Know Your Client (KYC)

- **Standard CDD:**
 - Verifying the identity of customers at the start of the business relationship.
- **Enhanced Due Diligence (EDD):**
 - Required for high-risk clients, such as politically exposed persons (PEPs), individuals from high-risk jurisdictions, or those conducting large cash transactions.
 - Example: For a PEP, institutions must gather additional information about the source of wealth and the purpose of the relationship.
- **Ongoing Monitoring:**
 - Regularly reviewing customer activities to ensure they remain consistent with the initial risk assessment.



Transaction Monitoring

- **Automated Monitoring Systems:** Financial institutions deploy advanced technology to monitor transactions in real-time and flag suspicious activities.
- **Examples of Red Flags:**
 - Multiple small cash deposits that aggregate into a large amount.
 - Sudden large international transfers to high-risk jurisdictions.
 - Transactions that do not match a customer's known profile or business activities.
- **AI and Machine Learning:** These technologies are increasingly used to detect complex patterns of money laundering.

Reporting Obligations

- **Suspicious Transaction Reports (STRs):** Financial institutions must report any transaction that appears unusual or inconsistent with a customer's normal activities to the Financial Intelligence Centre (FIC) in South Africa.
- **Cash Threshold Reports (CTRs):** Institutions must report cash transactions that exceed a prescribed threshold, even if they do not appear suspicious.
- **Cash Conveyance Reports (CCRs):** *Section 30 of the FIC Act*
 - Relatively new requirement (mid-2024)
 - Individuals carrying R25 000 or more in cash or bearer negotiable instruments across South Africa's borders to report this to the Financial Intelligence Centre (FIC).

Transaction Monitoring

- Two Elements.
 1. The 'Person' – “*Insiders*”
 - Defined as “as any person who has *access* or *has been given access* to inside information.”
 - Typically involves:
 - *People in positions of power (i.e. executives, board members);*
 - *Friends and Close relatives (i.e. connected persons)*
 - *Clients*
 - *Family Trusts*
 2. The Information
 - Material (i.e. information that *could* have a major impact on forming a price in a regulated market)
 - *Public vs Non-Public*
 - Relating directly or indirectly to the issuer of stocks or financial instruments (i.e. specific and precise/not a market rumour)

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Regulation of Crypto-Assets and Cryptocurrencies

- **Registration & Compliance:** Crypto-asset service providers must register with the Financial Sector Conduct Authority (FSCA) and comply with AML regulations.
- **Customer Identification:** Providers must implement KYC measures similar to traditional financial institutions.
- **Monitoring Transactions:** Crypto service providers should monitor transactions for suspicious activity, particularly large transfers or those involving privacy-enhancing tools such as mixers.



The Financial Action Task Force (FATF)

The importance of 'Grey Listing'



About the FATF

why NB: SA is on grey list

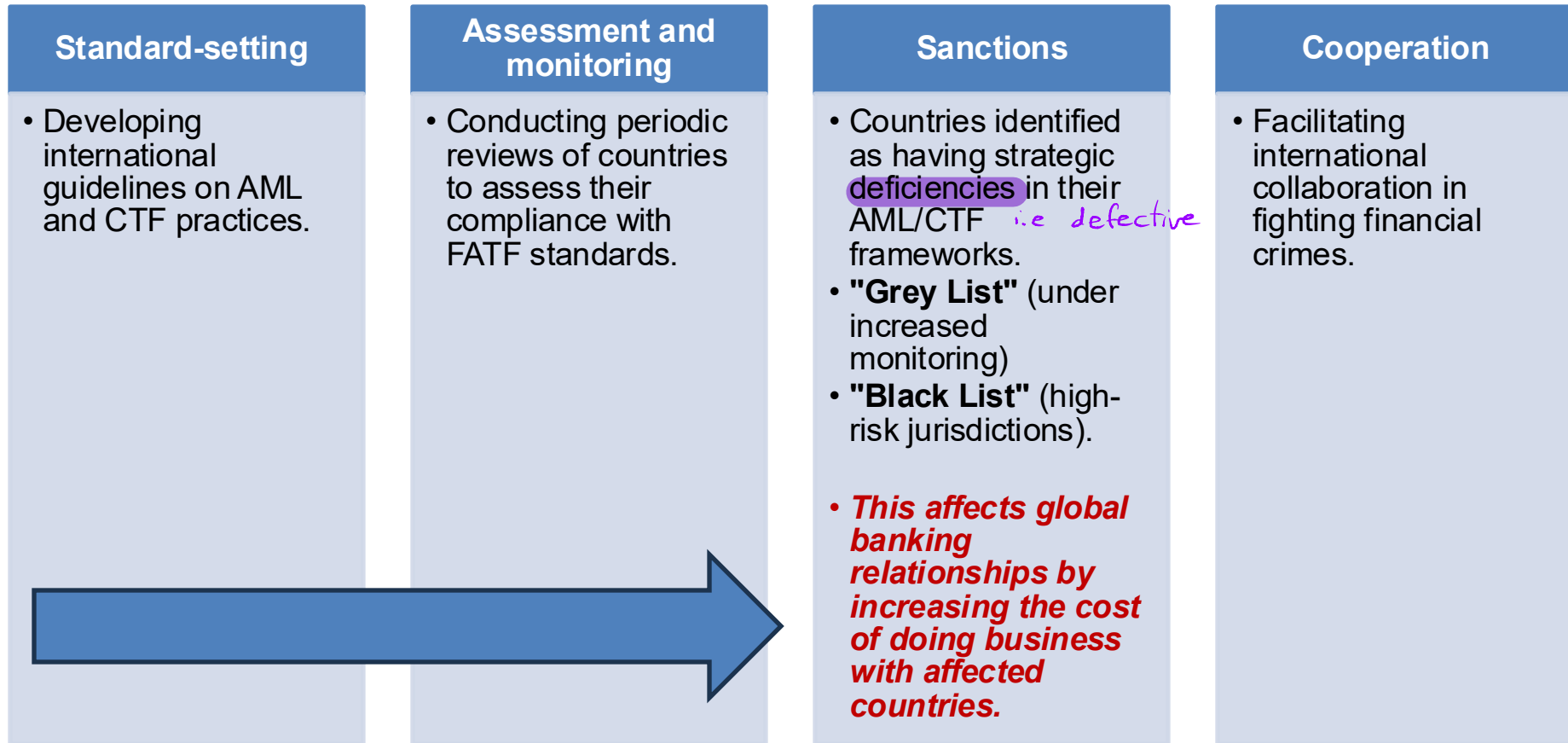
biggest impact on global banking

- Intergovernmental body
- Established in 1989
- Mandate:
 - To set global standards for combating money laundering, terrorist financing, and other threats to the integrity of the international financial system.
- FATF's 40 Recommendations:
 - Serve as the global benchmark for anti-money laundering (AML) and counter-terrorism financing (CTF) measures.

includes FIC



Role in Global Banking



MASSIVE problem
1:14:50

Criticism of FATF Sanctions

Sanctions

- Countries identified as having strategic deficiencies in their AML/CTF frameworks.
- **"Grey List"** (under increased monitoring)
- **"Black List"** (high-risk jurisdictions).
- ***This affects global banking relationships by increasing the cost of doing business with affected countries.***

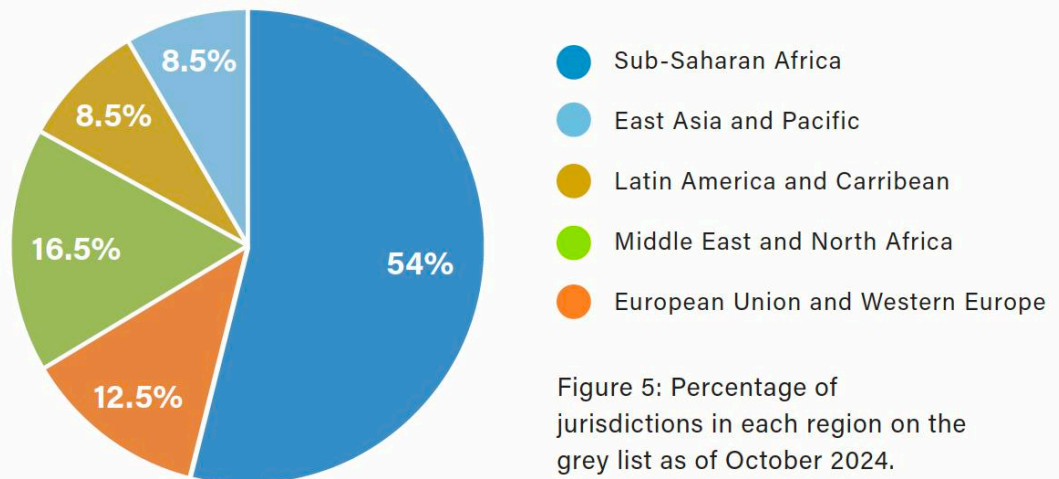
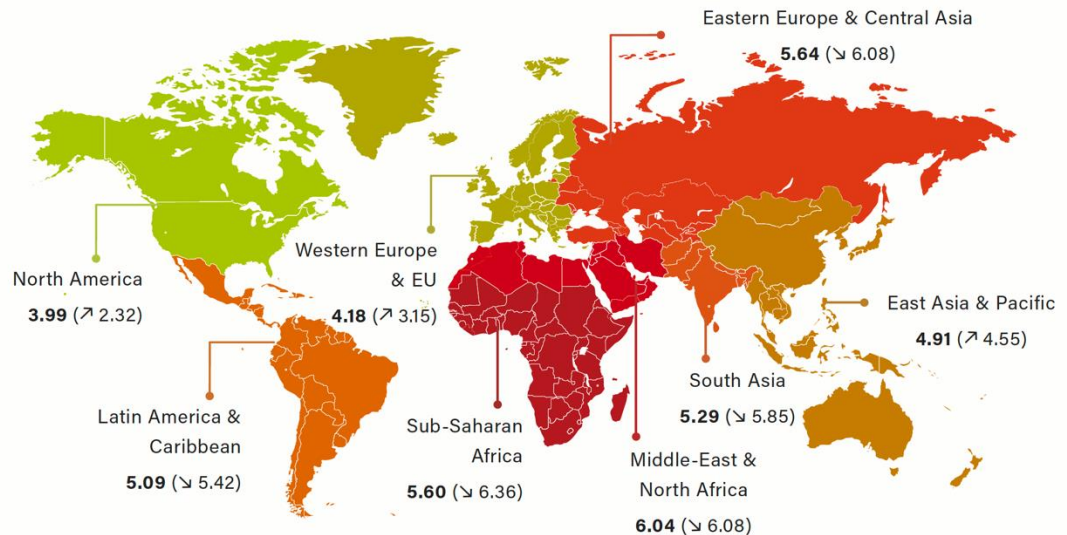


Figure 5: Percentage of jurisdictions in each region on the grey list as of October 2024.

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Criticism of FATF Sanctions

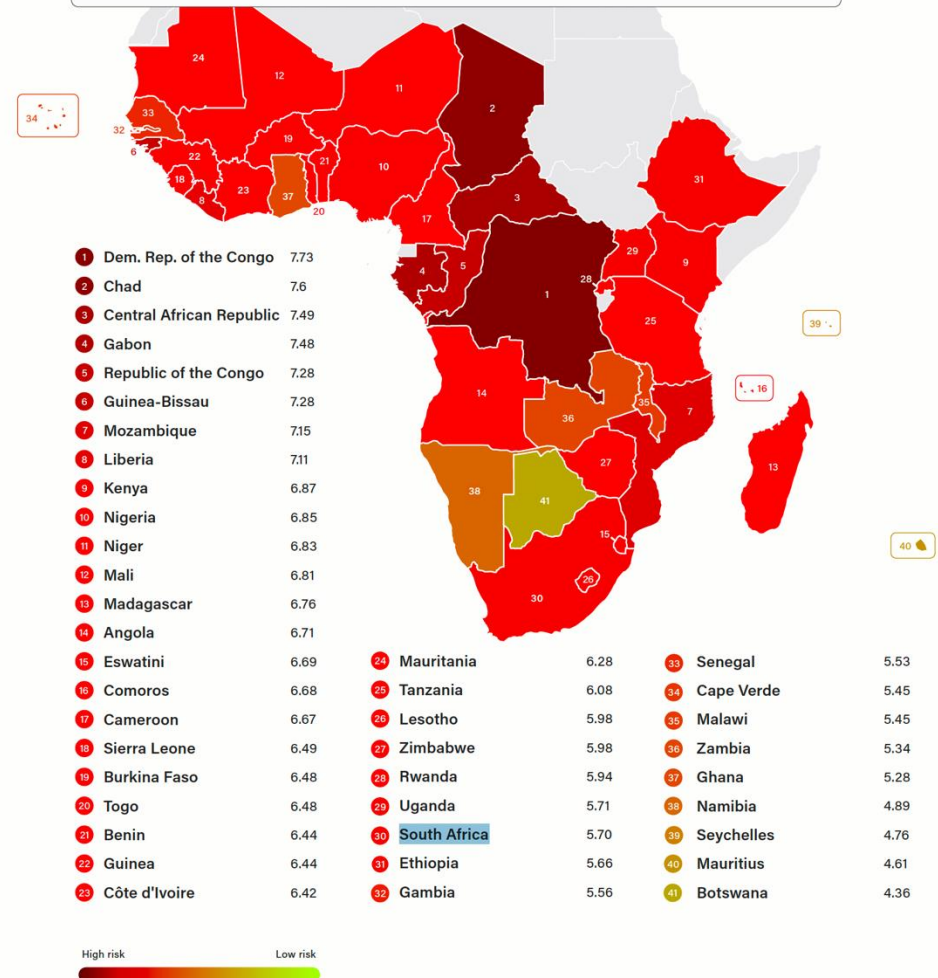
Sanctions

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significant economic impact of grey list

Sub-Saharan Africa

Country coverage has increased significantly due to increased data availability from the Central African Republic, Comoros, Guinea, Lesotho and Rwanda. Overall the Basel AML Index risk score has decreased slightly to 6.28 from 6.54 last year. Scores in the new indicators of fraud are much lower than the global average, though corruption remains a problem.



Criticism of FATF Sanctions & “Grey Listing”

Disproportionate Targeting of Developing Countries

- Many argue that the FATF disproportionately grey lists developing economies, despite similar deficiencies being found in some developed nations.
- This perception raises questions of fairness and consistency.

Economic Impact

- Grey listing has significant economic consequences, such as reduced foreign direct investment, limited access to global banking systems, and increased costs for financial institutions operating in these jurisdictions.
- For countries already facing economic challenges, this can exacerbate their situation.

One-size-fits-all Approach

- The FATF's recommendations are criticised for applying a uniform approach without adequately considering local contexts and resource limitations in developing countries.

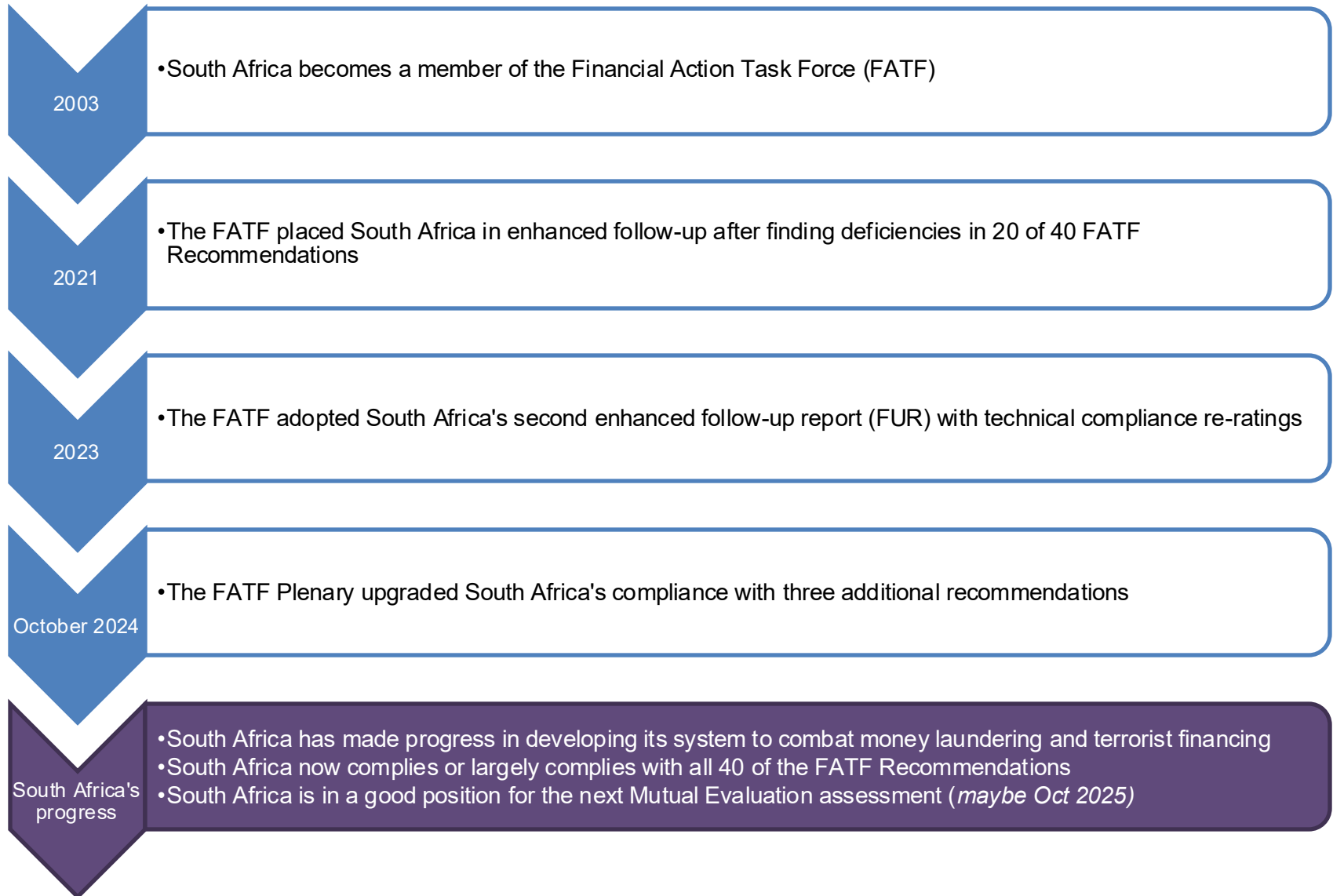
Limited Capacity for Compliance

- Developing nations may lack the necessary infrastructure and resources to comply with the FATF's stringent requirements, leading to repeated grey-listing cycles.

Political Influence

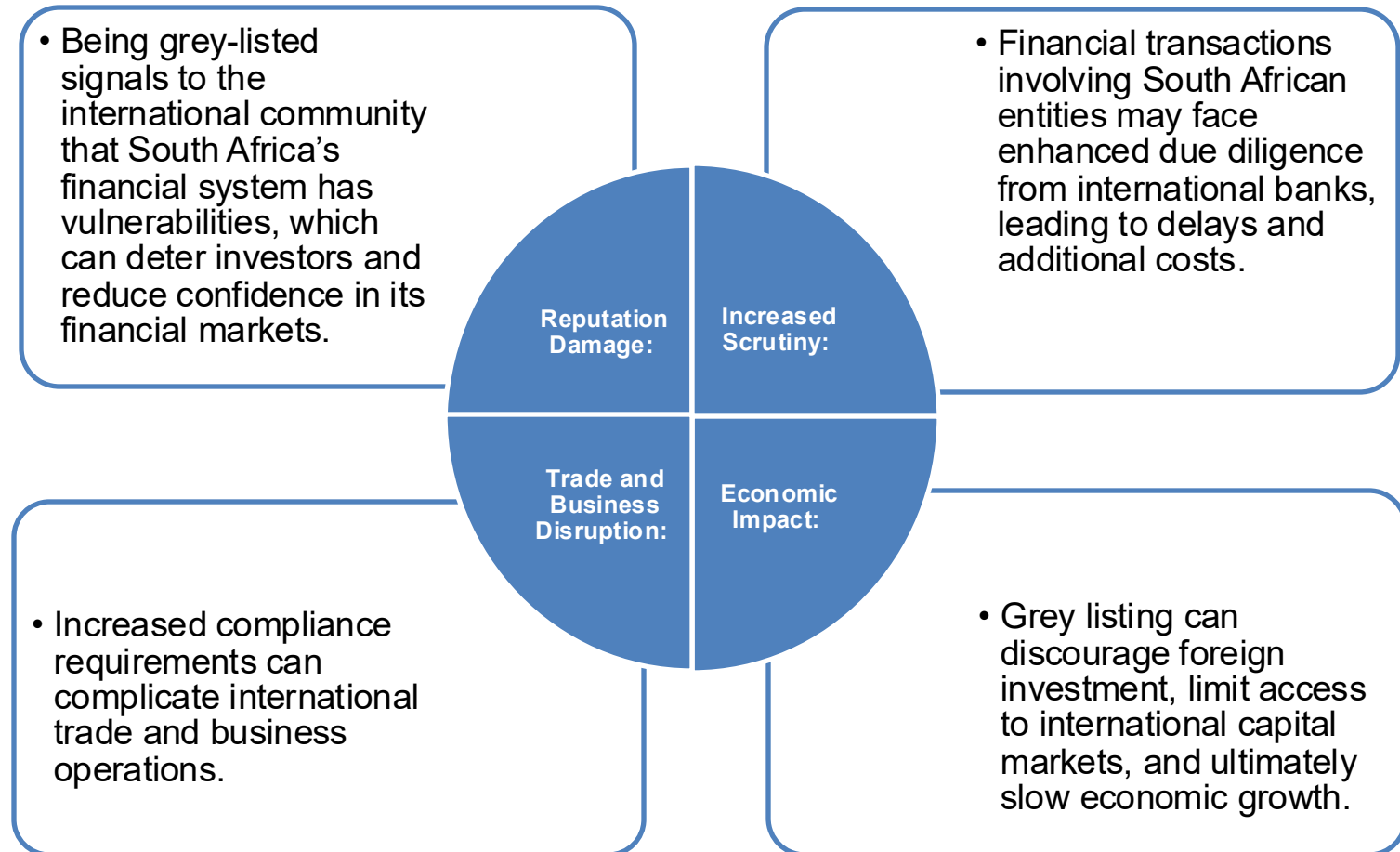
- There is growing concern that grey-listing decisions may be influenced by geopolitical considerations rather than purely technical assessments.

South Africa and the FATF



Impact of Grey Listing on South Africa

MAJOR



What South Africa Must Do Towards Removal from the Grey List

- Demonstrate a **sustained increase in outbound Mutual Legal Assistance** requests that help **facilitate money laundering/terrorism financing (ML/TF) investigations and confiscations of different types of assets in line with its risk profile**;
- Improve **risk-based supervision of Designated Non-Financial Businesses and Professions (DNFBPs)** and demonstrate that all AML/CFT supervisors apply effective, proportionate, and effective sanctions for noncompliance;
- Ensure that competent authorities have timely access to accurate and **up-to-date Beneficial Ownership (BO)** information on legal persons and arrangements and applying sanctions for breaches of violations by legal persons to BO obligations;
- Demonstrate a **sustained increase in law enforcement agencies' requests** for financial intelligence from the Financial Intelligence Centre for investigations;
- Demonstrate a **sustained increase in investigations and prosecutions** of serious and complex money laundering and the full range of terrorist financing activities in line with its risk profile;
- Enhance its **identification, seizure, and confiscation of proceeds** and instrumentalities of a wider range of predicate crimes, in line with its risk profile;
- **Update its terrorist financing risk assessment** to inform the implementation of a comprehensive national counter-financing of terrorism strategy; and
- Ensure the effective implementation of **targeted financial sanctions** and demonstrate an effective mechanism to identify individuals and entities that meet the criteria for domestic designation.

Why South Africa Must Work Towards Removal from the Grey List

- It is essential for the country to prioritise its removal from the list by addressing the identified deficiencies in its anti-money laundering (AML) and counter-terrorism financing (CTF) framework.
- Achieving this will enhance the country's position as a trusted player in the global financial system and ensure long-term economic resilience.
- **Likely Impacts:** *Back to being trusted player*

Restoring Investor Confidence:

- Demonstrating compliance with FATF standards will rebuild trust among investors and trading partners.

Reducing Transaction Costs:

- Compliance with international standards reduces the risk of enhanced due diligence measures from international financial institutions.

Safeguarding Economic Growth:

- Removal from the grey list will promote a more stable and attractive environment for investment and trade.

Maintaining Regional Leadership:

- As a financial hub in Africa, South Africa must lead by example in implementing robust AML and CTF measures.

Protecting National Security:

- Strengthening the AML framework ensures that criminal and terrorist organisations cannot exploit the financial system.

South Africa and the FATF

There is some good news...

“At its June 2025 Plenary, the FATF made the initial determination that South Africa has substantially completed its action plan and warrants an on-site assessment to verify that the implementation of AML/CFT reforms has begun and is being sustained, and that the necessary political commitment remains in place to sustain implementation in the future.”

The on-site visit will take place before the next FATF Plenary, and, if the outcome of the visit is positive, the FATF will delist South Africa from the greylist at its next Plenary in October 2025. Preparations for the on-site visit have commenced.

The Financial Intelligence Center (FIC) and the FIC Act



Role of the FIC

Monitoring and Analysis:

- Collecting financial data from accountable institutions (e.g., banks, insurance companies) and analysing it for patterns indicative of money laundering or terrorism financing.

Collaboration with Law Enforcement:

- Providing actionable intelligence to law enforcement agencies, such as the South African Police Service (SAPS) and the Hawks, to facilitate investigations and prosecutions.

Issuing Guidance and Directives:

- Helping accountable institutions comply with their obligations under the FIC Act by issuing guidelines and directives on how to identify and report suspicious activities.

International Cooperation:

- Collaborating with international bodies and foreign financial intelligence units (FIUs) to combat cross-border financial crime.

The FIC and the FIC Act

The FIC Act establishes the legislative framework for combating money laundering and terrorism financing in South Africa; it is enforced by the FIC.

KEY PROVISIONS & PRINCIPLES:

Reporting Obligations:

- **Suspicious Transaction Reports (STRs):** Institutions must report transactions that raise suspicions of money laundering or terrorism financing.
- **Cash Threshold Reports (CTRs):** Transactions involving cash amounts exceeding a specified threshold must be reported to the FIC.

Customer Due Diligence (CDD):

- The FIC Act requires accountable institutions to conduct CDD to verify customer identities and assess their risk levels.

Record-Keeping Requirements:

- Institutions must maintain detailed records of customer information and transactions for at least five years.

Risk-Based Approach:

- The FIC Act promotes a risk-based approach, allowing institutions to tailor their compliance efforts based on the level of risk posed by different customers and transactions.

Why The FIC and the FIC Act are *CRUCIAL*

Strengthening National Security:

- The FIC helps prevent funds from being used to finance terrorism and organised crime.

Protecting the Integrity of the Financial System:

- By enforcing compliance with AML regulations, the FIC ensures that South Africa's financial sector remains credible and trustworthy.

Enhancing International Reputation:

- Compliance with the FIC Act aligns South Africa with global standards, reducing the risk of FATF grey listing and promoting foreign investment.

Providing Actionable Intelligence:

- The FIC's data-driven insights help law enforcement agencies uncover complex financial crimes and hold offenders accountable.

FIC Fines – *Some Examples*

2016

- GBS Mutual - fined R500,000 due to weaknesses in its AML & CTF controls
- Absa Bank – fined R10m due to weaknesses in their AML & CTF controls
- Société Générale - fined R2m for weaknesses in KYC and maintaining customer and transactional records

2019

- Standard Bank - fined R35 million for weaknesses linked to failure to report suspicious and unusual transactions and given a remedial directive.
- Bank of China – fined R2 million for weaknesses related to cash threshold reporting and given a remedial directive

2021/2022

- Deutsche Bank AG - fined R38 million due to weaknesses in their AML & CTF controls
- Nedbank - fined R35 million for failure due failure to comply with some of the administrative provisions of FICA.

A lot more coming to show enforcement

Key Provisions of the FIC Act

Accountable Institutions: Definitions

- (a) A legal practitioner as defined in the Legal Practitioners Act 1983;
- (b) An accountant as defined in the Accountants Act 1977;
- (c) A financial institution (e.g. bank, asset managers, insurance companies, collective investment scheme managers) as defined in the Financial Institutions Act 1999, and includes a person who carries on business of:
 - (i) acceptance of deposits and other repayable funds from the public;
 - (ii) lending, including consumer credit, mortgage credit, factoring (with or without recourse) and financing of commercial transactions;
 - (iii) financial leasing;
 - (iv) money transmission services;
 - (v) issuing and administering means of payment (such as credit cards, traveller's cheques and banker's drafts);
 - (vi) guarantee and commitments;
 - (vii) trading for own account or for account of customers in money market instruments (such as cheques, bills, certificates of deposit), foreign exchange, financial futures and options, exchange and interest rate instruments, and transferrable securities;
 - (viii) underwriting share issues and participation in such issues;

Key Provisions of the FIC Act

Accountable Institutions: Definitions

- (ix) advice to undertakings on capital structure, industrial strategy and related questions, and advice and services relating to mergers and the purchase of undertakings;
- (x) money-broking;
- (xi) portfolio management and advice;
- (xii) an estate agent;
- (xiii) money lenders as provided for by the Money Lenders Order 1989i ;
- (xiv) Corporative Societies and similar bodies registered in terms of the Corporatives' Act 2000ii or the Societies Act 1966iii;
- (xv) safekeeping and administration of securities;
- (xvi) safe custody services; *cash in transit*
- (xvii) gambling house;
- (xviii) a person who carries out an insurance business; (xix) casino and lottery; (xx) buying and selling of gold bullion;
- (xxi) dealers in precious stones;
- (xxii) company service providers; and
- (xxiii) any other person or institution who may be declared as such by the Minister by notice in the Gazette.

Key Provisions of the FIC Act

Accountable Institutions: Amendments

- Amendments to FICA Accountable Institution Schedule came into effect on 19 December 2022 which **broadened scope**:
 - Anyone who sells any items to the value of ZAR100 000 or more to anyone and payment is made in any form, will be considered to be an accountable institution.
 - This is regardless of whether you are a company, sole proprietor or any other type of business.
 - Dealers in art, motor vehicles, equipment, scrap metal, and even bicycles and televisions will now be treated the same as banks and other financial institutions for purposes of FICA.
 - Anyone who provides credit to clients (or sell goods on terms), it is likely to be an accountable institution regardless of whether the National Credit Act, 2005 (“NCA”) applies.

Key Provisions of the FIC Act

Accountable Institutions: Duties

- Client take-on – (KYC) (Section 21)
- Record-keeping (Section 22)
 - KYC records kept for 5 years from the end of the business relationship
 - Transactional records kept for 5 years from the transaction
- Transaction reporting – suspicious and cash (Section 27 – 32)
 - Threshold amount is R24 999.99
- Compile Internal rules – AML compliance manual (Section 42)
 - See our AML policy and Process Guideline on intranet / Silica AML rules
- Appoint a Money Laundering Reporting Officer (Section 43)
- Provide training to all employees (Section 43)

NOT ASKED

Key Provisions of the FIC Act

Reporting: Suspicious Transactions

What

- Duty to report all suspicious transactions
- What is a suspicious transaction?

- Actual knowledge or suspicion of a suspicious transaction?
- Must be reported within 15 business days after becoming aware of the suspicious or unusual transaction

When

How

- Report via internal rules & procedures
 - Email to Compliance who may request additional information for reporting
- Continue with transactions and don't tip off

2:05:35

Key Provisions of the FIC Act

Reporting: Suspicious Transactions – What?

- A transaction involving an unusually large amount given the profile of the client / source of the investment – e.g. a student with a large sum of money
- Overly complex structures – e.g. the depositing of funds into several related accounts that are then aggregated into one account for disbursement to a common recipient or recipients
- Unjustified churn on an account – e.g. frequent deposits and withdrawals of large amounts for no apparent personal or business reason
- Substantial deposits and immediate withdrawals
- Cancelling deposit orders
- A client who is unable or unwilling to provide KYC / source of funds
- Where the investment does not make financial sense
- Funds being "accidentally" paid into the wrong bank account

Key Provisions of the FIC Act

Reporting: Suspicious Transactions – Trends

- Accountable Institution need to be ***more suspicious of higher-risk individuals***
 - Not individuals with more money in accounts
 - But individuals that claim that source of investment come from type of industry that is suspicious e.g. gambling, cross-border, and Politically Exposed Person or Politically Important Person and those related to that person
 - In-line with international standards

Key Provisions of the FIC Act

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Risk-Based Compliance

- Fewer exemptions / regulations
 - Flexible approach to client due diligence
 - Measures in place commensurate to risks identified in own business
- Distinguish clients based on own assessment (eg jurisdiction; political position; economic position/power; type of client)
 - Simple vs enhanced due diligence
 - On going monitoring
- Validating the client investment “profile”
 - Identifying and verifying source of funds [*plus source of wealth for higher risk clients*]
 - Investment trends/ history
 - Product selection
- The Trusted Client
 - Establish prior to take-on
 - Ongoing assessment – “screening”

Takeaways : 2:06:20

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know some fundamentals

Thank You

